Situation of unemployment in advanced economies in general, and the peripheral economies of the eurozone in particular has not improved (which deteriorated in the wake of the global crisis). The OECD Employment Outlook 2011 observed that[5]:

(a) with the recovery stalling, OECD unemployment remained high, with close to 44.5 million persons unemployed.

(b) the extent of unemployment has been varied across OECD countries, with Spain exhibiting the highest unemployment rate (21.7 per cent).

(c) the main losers have been youth and temporary workers, some of whom have been getting out of the job market.

(d) the US has shown some improvement (8.7 per cent in 4th Quarter, 2011 compared to 9.1 per cent in 3rd Quarter, 2011), but nevertheless remains high.

The persistently high rates of unemployment in advanced countries, especially in the crisis-affected countries of the eurozone, the ***inherent contradiction*** of fiscal consolidation is having a social fallout in the peripheral economies and has sharply polarized public debate fon the appropriate economic policies to be adopted.

EUROZONE CRISIS

The eurozone, a currency union of 17 European countries, has been going through a major crisis[6] which started with Greece but spread rapidly to Ireland, Portugal, and Spain and subsequently Italy. Sparked off by fear over the sovereign debt crisis in Greece, it went on to impact the peripheral economies as well, especially those with over-leveraged financial institutions. These economies, especially Greece, have witnessed downgrades in the ratings of their sovereign debt due to fears of default and a rise in borrowing costs. The sovereign debt crisis has made it very difficult for some of these countries to re-finance government debt. The banking sector in these countries also stands adversely affected.